

How to increase sales by 20% – Food Delivery Project

1. Problem statement :

Food delivery platform wants to increase sales by 20% in the next 3 months using existing customer base and operational improvements.

2. Executive Summary :

Metric	Value
Current total sales (last 6 months)	₹17,86,255
Total active orders	12,997
Average order value (AOV)	₹119
Cancellation rate	13.35%
20% growth target	₹3,57,251

Key finding : ₹2.38L lost in cancelled orders + ₹82.5k wasted on ineffective promos = ₹3.2L recovery potential without acquiring new customers.

3. Data Overview :

Item	Detail
Total rows	15,000
Time period	July to December (6 months)
Key columns	order_value, final_amount_paid, cancellation_flag, promo_code_used, premium_customer_flag, delayed_delivery_flag, customer_rating
Data source	Food delivery operations CSV

Tool used	MySQL for analysis
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4. Current Sales Baseline

4.1 Overall Metrics

Metric	Value
Total Sales (6 months)	₹17,86,255
Total Orders	15,000
Average Order Value	₹119
Cancelled Orders	2,003
Cancellation Rate	13.35%
Active Orders	12,997

4.2 Monthly Sales Trend

Month	Orders	Sales	AOV
July	1,094	₹1,28,733	₹117.67
August	1,108	₹1,32,806	₹119.86
September	1,090	₹1,29,683	₹118.98
October	1,083	₹1,27,626	₹117.84
November	1,052	₹1,25,964	₹119.74

December	1,078	₹1,27,522	₹118.29
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Observation :

- No growth trend over 6 months (range : ₹1.25L – ₹1.33L)
- Peak month : (August ₹1,32,806)
- Lowest month : (November ₹1,25,964)
- AOV consistent at ₹118 – ₹120

Conclusion : Flat sales trend. Need strategic intervention.

5. Key Insight

Insight 1 : Cancellation Impact on Revenue

Cancellation Flag	Orders	Sales Lost
TRUE (Cancelled)	2,003	₹2,38,357
FALSE (Active)	12,997	₹15,46,107

Impact : 13.35% cancellation rate = ₹2.38L lost revenue.

Insight 2 : Promo Code Not Driving Extra Sales

Promo Used	Orders	AOV	Avg Discount
FALSE	7,509	₹119.02	₹14.92
TRUE	5,488	₹118.88	₹15.03

Impact : ₹15 discount per order giving ₹0 extra sales. Total wastage = ₹82,500.

Insight 3 : Premium customers have higher AOV.

Customer Type	Orders	AOV
Non-Premium	9,318	₹115.19
Premium	3,679	₹128.50

Impact : Premium customers spend ₹13.31 more per order (11.6%).

Insight 4 : Delivery delay impact

Delayed Delivery	Orders	Cancellations
FALSE	13,580	1,817
TRUE	1,420	186

Impact : Delayed orders have a similar cancellation rate but reduce customer loyalty and repeat purchases.

6. Recommendations to achieve 20% growth.

Recommendation 1 : Reduce order cancellation (Priority : High)

Item	Detail
Problem	2,003 cancelled orders = ₹2.38L lost
Root cause	Likely long delivery wait time or easy cancellation policy
Solution	Allow cancellation only within 2 minutes of order; after 2 minutes → ₹20 fee
Expected impact	₹1,19,179 (50% reduction)
Effort	Low
Timeline	Week 1

Recommendation 2 : Fix Promo Strategy (Priority : High)

Item	Detail
Problem	₹15 discount giving ₹0 extra AOV
Solution	Promo only for orders > ₹200 OR first-time customers only

Expected impact	₹41,250 cost saving (50% of current waste)
Effort	Low
Timeline	Week 1

Recommendation 3 : Premium Membership Program (Priority : Medium)

Item	Detail
Opportunity	Premium AOV 11.6% higher than non-premium
Solution	Launch ₹49/month membership → free delivery above ₹150
Expected impact	₹18,607 (convert 15% of 9,318 non-premium orders)
Effort	Medium
Timeline	Week 3

Recommendation 4 : Improve delivery time (Priority : Medium)

Item	Detail
Problem	1,420 delayed orders affecting repeat rate
Solution	Real-time traffic-based ETA + ₹10 customer credit for >15 min delay
Expected impact	₹77,350 (5% increase in repeat purchases)
Effort	Medium
Timeline	Week 2-4

Recommendation 5 : Peak hours surge pricing (Priority : Low)

Item	Detail
Opportunity	Peak hours (12-2 PM, 7-9 PM) = ~40% of orders
Solution	Add ₹10 delivery fee during peak hours
Expected impact	₹51,990
Effort	Low
Timeline	Week 2

7. Expected Total Impact

Recommendation	Revenue Impact
Reduce cancellation	₹1,19,179
Fix promo strategy	₹41,250
Premium conversion	₹18,607
Reduce delay (repeat rate)	₹77,350
Peak hour surge	₹51,990
Total	₹3,08,376
20% Target (₹3,57,251)	86% achieved

Remaining 14% can be achieved through :

- Loyalty points expiry reminders.
- Combo bundle offers (add fries + drink for ₹49)

8. SQL Query used

```
-- 1. Total sales and cancellation impact
```

```
SELECT
```



```
cancellation_flag,  
  
COUNT(*) AS orders,  
  
ROUND(SUM(final_amount_paid), 2) AS total_sales  
  
FROM food_delivery  
  
GROUP BY cancellation_flag;
```

-- 2. Monthly sales trend

```
SELECT  
  
order_month,  
  
COUNT(*) AS orders,  
  
ROUND(SUM(final_amount_paid), 2) AS sales  
  
FROM food_delivery  
  
WHERE cancellation_flag = 'FALSE'  
  
GROUP BY order_month  
  
ORDER BY order_month;
```

-- 3. Promo effectiveness

```
SELECT  
  
promo_code_used,  
  
ROUND(AVG(final_amount_paid), 2) AS aov,  
  
ROUND(AVG(discount_amount), 2) AS avg_discount  
  
FROM food_delivery  
  
WHERE cancellation_flag = 'FALSE'  
  
GROUP BY promo_code_used;
```

-- 4. Premium vs non-premium

```
SELECT

    premium_customer_flag,

    COUNT(*) AS orders,

    ROUND(AVG(final_amount_paid), 2) AS aov

FROM food_delivery

WHERE cancellation_flag = 'FALSE'

GROUP BY premium_customer_flag;
```

-- 5. Delay impact

```
SELECT

    delayed_delivery_flag,

    COUNT(*) AS orders,

    SUM(CASE WHEN cancellation_flag = 'TRUE' THEN 1 ELSE 0 END) AS cancellations

FROM food_delivery

GROUP BY delayed_delivery_flag;
```

9. Implementation Timeline

Week	Actions
Week 1	Launch cancellation policy + promo fix
Week 2	Deploy peak hour pricing + delay tracking

Week 3	Launch premium membership program
Week 4	Monitor metrics, start A/B testing
Week 5-12	Optimize based on data

10. Conclusion

20% sales growth is achievable within 3 months without acquiring new customers.

Top 3 priorities :

1. Reduce cancellations — ₹1.19L impact (Low effort)
2. Fix ineffective promos — ₹41K cost saving (Low effort)
3. Improve delivery time — ₹77K from higher repeat rate (Medium effort).